and the average stockholder feels that he is at the mercy of the management's decisions. (This is not entirely so in fact, since the penalty clauses in the Revenue Act virtually compel disbursement of the net income realized by investment trusts.) Nor has the market price been maintained by company repurchases at a reasonable discount from break-up value, so that the investor has been unable to look to the management to save him from the hard necessity of sacrificing his shares at as much as 50% below their intrinsic worth.

In the 1934 edition we illustrated this same point by considering American Laundry Machinery stock at its price of 7 in January 1933, which was equivalent to $4,300,000 for the entire company—as compared with over $4,000,000 in cash, $21,000,000 in net current assets, $27,000,000 in net tangible assets and 10-year average earnings of over $3,000,000 (including, however, a loss of $1,000,000 in 1932). The last two paragraphs of the chapter were as follows:

> Wall Street would have considered American Laundry Machinery stock "unsafe" at 7, but it would unquestionably have accepted a $4,500,000 bond issue of the same company. Its "reasoning" would have run that the interest on the bond was sure to be continued but that the 40-cent dividend then being paid on the stock was very insecure. In one case the directors had no choice but to pay interest and therefore would surely do so; in the other case the directors could pay or not as they saw fit and therefore would very likely suspend the dividend. But Wall Street is here confusing the temporary continuance of income with the more fundamental question of safety of principal. Dividends paid to common-stock holders do not in themselves make the stock any safer. The directors are merely turning over to the stockholders part of their own property; if the money were left in the treasury, it would still be the stockholder's property. There must therefore be an underlying fallacy in assuming that if the stockholders were given the power to compel payment of income—*i.e.*, if they were made bondholders in whole or in part—their position would thus be made intrinsically sounder. It is little short of idiocy to assume that the stockholders would be better off if they surrendered their complete ownership of the company in exchange for a limited claim against the same property at the rate of 5 or 6% on the investment. This is exactly what the public would do if it were willing to buy a $4,500,000 bond issue of American Laundry Machinery but would reject as "unsafe" the present common stock at $7 per share.